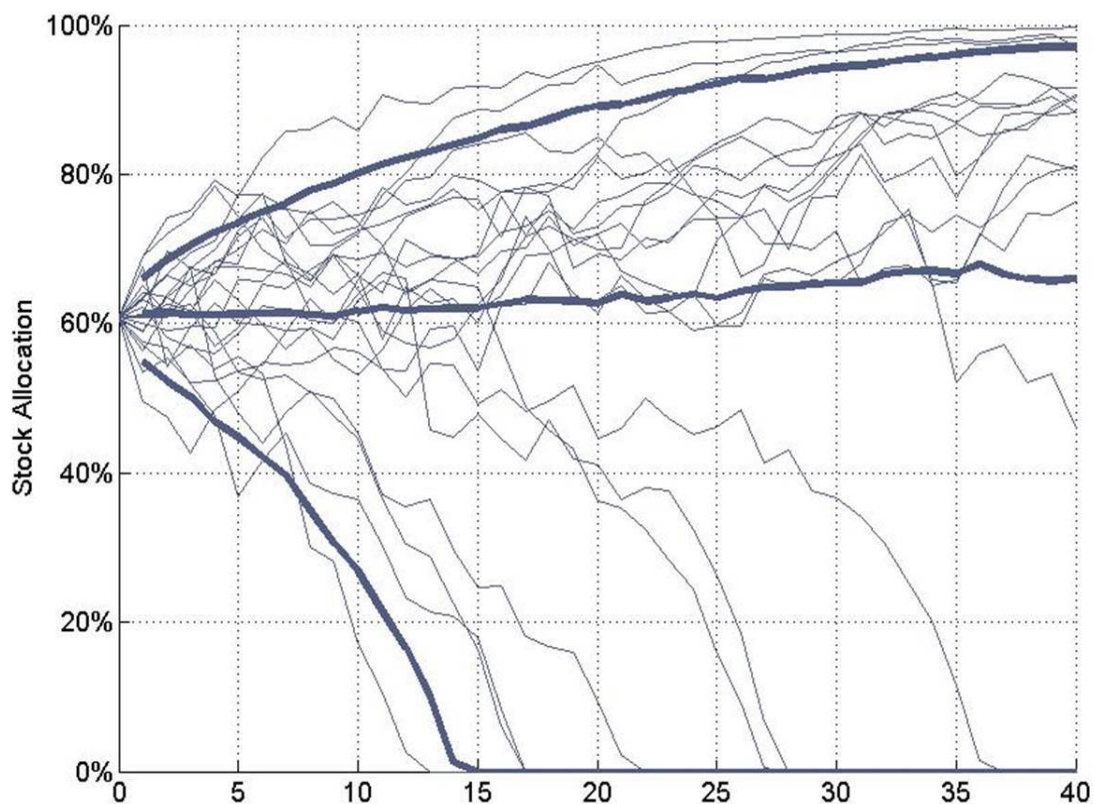


allocation continues rising even as the bond ladder extends. This rising equity glide path is triggered by strong stock market performance expanding the growth portfolio at a rapid pace that exceeds the distributions needed to keep the bond ladder fully funded.

*Exhibit 7.15*

*Dynamic Asset Allocation in Retirement*

*Twenty Random Simulations for an Automatic 10-Year Rolling Ladder Along with the 10th, Median, and 90th Percentiles for the Entire Distribution*



Next, market-based and personalized approaches are both part of the category that Huxley and Burns call flexible horizons. Market-based rules for extending the ladder could be based on triggers such as positive stock growth, high stock market valuations, or high interest rates. Noting whether